Chapter 1

Personalizing the Customer Journey by Using AI

IN THIS CHAPTER

» Introducing the customer journey

» Using AI tools and techniques to enhance the customer experience

» Providing customer support in real time

Most people enjoy getting brand emails that seem to be written specifically for them. Consumers today expect that every company will deliver personalized interactions and custom recommendations based on their specific needs. Any organization that can successfully provide Al-based personalization can gain a competitive advantage.

This chapter explains how to deliver a personalized journey for your customers using several AI tools and techniques. We show you how to

- Determine how customers feel using sentiment analysis
- Provide what customers want by utilizing recommendation engines
- Predict what customers will do by employing predictive analytics
- Deliver information customers need with chatbots and virtual assistants
- Automate the delivery of content using marketing automation

We also look at how you can use generative AI (GenAI)) to leverage the data you get from these tools to create valuable assets for marketing, sales, and support. Book 4 has more information on using GenAI to create content and assets.



REMEMBER Implementing Al technologies usually requires an up-front investment, but it can result in long-term cost savings, improved efficiency, and increased customer retention.

Discovering the Customer Journey

To understand how AI tools impact the customer journey, we begin by looking at the concept of the customer journey itself. The customer journey is the trip that customers take as they learn about, evaluate, and buy a product or service from your brand.

Taking the customer journey

Online practitioners know that improving the customer journey is one of the best ways to help customers choose their brand. Here are the five customer journey stages:

1. **Awareness**
   The customer recognizes their need and the possible solutions available to them. Marketing and advertising drive the awareness of the brand and its products. AI can facilitate the creation of these assets.
2. **Consideration**
   The customer researches their options and compares competitors. Content like product reviews and comparisons influence their choices. Sales content generated by AI can be used to answer questions and build credibility.
3. **Purchase**
   The customer chooses the best option and decides to buy. The transaction process should be seamless. AI can be used to provide shipping information or other details automatically.
4. **Retention**
   After purchasing, the goal is to retain the customer for additional business. This is usually done by delivering additional support, loyalty programs, and continuing great service.
5. **Advocacy**
   This is the stage at which the customer becomes so satisfied and engaged with a brand that they actively promote it to others.



TIP Your customer journey should focus on guiding customers through each stage. Personalized interactions will move customers along the journey from initial awareness to loyal customers.



REMEMBER Each journey stage generates volumes of behavioral data about how your customers make decisions. AI analyzes that data and provides key insights that help you create a winning journey for your brand.

Examining touch points

The customer journey typically involves many interactions with a brand, known as *touch points.* So, what are touch points? Touch points are the interactions that happen between the customer and the company throughout their relationship. The customer will experience a multitude of touch points when engaging with your brand. They include such things as:

- Visiting your website for the first time
- Receiving email offers from you
- Seeing your ads on social media
- Making brick-and-mortar store visits
- Participating in tech support calls
- Getting text messages about company events



REMEMBER Each touch point represents an opportunity to delight customers, meet their needs, and deliver a great experience that guides them to a purchase.

Introducing AI Personalization

Personalizing the customer journey requires a combination of insights (driven by data analysis) and human touch points (like sales calls) to de-

liver a seamless experience. To provide effective personalization, you need to:

- **Analyze customer data and insights.** AI tools produce customer profiles and uncover preferences and behaviors that provide the raw material to understand customer motivations.
- **Blend AI and a human touch.** AI can process data to automate and scale personalization, but having people oversee the output is crucial to delivering content with a human touch.
- **Use an omnichannel approach.** Connecting customer data across all touch points is essential so customers recognize your brand wherever they see it.



TIP One example of blending AI and a human touch is an AI technology known as Einstein, which is part of the Salesforce customer relationship management (CRM) platform. Einstein creates an autogenerated personalized email for every sales conversation, making the salesperson more productive and providing the customer with a personalized follow-up email.

Delivering personalized content

Delivering consistent messages on all channels ensures that customers receive relevant information based on their preferences and interests. So, how does AI accomplish this? By doing the following:

- Identifying patterns and segments from customer data to define personas
- Determining which types of content each customer is likely to interact with
- Continuously testing different content to maximize personalization effectiveness
- Creating and delivering custom experiences automatically without any human involvement



REMEMBER Continuous monitoring and optimization of Al systems are crucial for maintaining relevance as customer preferences change.



TIP AI extracts insights from customer data that would be virtually impossible for humans to accomplish manually. This allows the delivery of results in real time at an almost unlimited scale.

Personalizing the journey with AI

As the customer proceeds through the journey, personalized content needs to reach them at each phase. Here are some examples of how AI-driven personalization is delivered throughout the customer journey stages, as introduced in the section "Taking the customer journey" earlier in the chapter:

- **Awareness:** Visitors see display ads, social media posts, and website content reflecting their interests based on their browsing history.
- **Consideration:** Product recommendations and comparison tools display customized options that consumers will prefer.
- **Purchase:** Email and web content emphasize benefits and features that matter most to each customer.
- **Retention:** Existing customers get personalized promotions, restock reminders, and cross-sell suggestions over time.
- **Advocacy:** Loyal customers are offered personalized rewards and incentives and are encouraged to share their experiences with the product.

By continually optimizing experiences around a customer's choices, AI-powered personalization guides customers to a purchase.



REMEMBER Some customers are sensitive to what they consider to be too much personalization. Be aware that some people may see personalization that constantly hits their inbox as intrusive.

Benefitting from AI Tools for the Customer Journey

Using AI tools to create and enhance the customer journey helps marketers, sales, and support teams deliver a great customer experience. Here are several benefits to consider:

- **An enhanced customer experience:** AI can analyze large amounts of data to personalize the customer journey to deliver a more relevant customer experience.
- **Better (business) decision-making:** AI provides valuable insights through predictive analytics or sentiment analysis, enabling businesses to make better decisions about pricing, product development, or marketing campaigns.
- **Improved sales performance:** By using AI-powered tools, staff can understand customer needs to make more informed and targeted sales pitches.
- **Real-time customer support:** With AI-powered chatbots or virtual assistants, businesses can provide support 24/7, improving response times and overall satisfaction.
- **A competitive advantage:** Businesses that effectively leverage AI in their sales and support processes gain a competitive edge by serving customers content that matters to them. Of course, sometimes, human intervention is essential to close a sale or fix a problem.
- **Reduced churn:** By showing customers you understand their desires and needs, you strengthen their loyalty and encourage them to remain customers.

  

  REMEMBER *Churn* is a marketing term that refers to customers who quit using a product or service within a designated period.
- **Increased efficiency:** AI tools automate repetitive tasks such as data entry, which lets support teams focus on more important activities.

Determining How Customers Feel

Customers' feelings about a brand affect their buying decisions. Unfortunately, emotions are difficult to measure objectively in text and spoken language. This is where sentiment analysis is a valuable tool. By analyzing customer content across the customer journey, sentiment analysis uncovers the attitudes and feelings hidden inside volumes of customer data.



TIP Sentiment analysis can determine customer emotions by analyzing their feedback or social media interactions. By understanding customer sentiment, you can send the right content at the right time, improving the customer experience.

Understanding sentiment analysis

Sentiment analysis is a technique that uses AI to find out whether content has a positive, negative, or neutral sentiment. For example, “I really like this product” would be considered a positive sentiment, “They have the worst service ever” is obviously negative, and “They delivered the package on time” would probably be considered neutral.

Sentiment analysis lets you discover patterns and trends about how customers feel. It analyzes the tone and mood of customers at different points along the journey and alerts you to potential problems. Using sentiment analysis techniques enables staff to pinpoint problems along the customer journey and fix them.



TIP Here are some ways you can apply sentiment analysis:

- **Eliminate pain points.** You can identify and fix the significant pain points to keep them from further frustrating customers.
- **Discover problems when you make changes.** You can monitor sentiment changes following a product, service, or campaign modification.
- **Spot major issues.** You can alert support teams to a customer problem so that they can fix it before it becomes a major issue.

Sentiment analysis applications help staff find and solve the problems that will deliver the greatest customer satisfaction.

Evaluating emotions across the customer journey

Organizations use sentiment analysis to gain insights across the customer journey. Here are some examples of how you can use it at each stage:

- **Awareness:** You can analyze blog and video comments and other touch-point responses to understand the beginning opinions of the brand.
- **Consideration:** You can look at customer inquiries, event feedback, and other interactions to see how their feelings change.
- **Purchase:** To measure satisfaction after buying, you can categorize the sentiment from tech support comments, service calls, and conversations.
- **Retention:** You can continuously analyze social media, reviews, customer support calls, and other channels to monitor ongoing attitudes.
- **Advocacy:** You can find out which topics are most positively discussed in your community and use that information for your advocacy programs.

Creating assets using sentiment analysis data

In the past, sentiment analysis data was not widely available to organizations. The data was trapped inside social media platforms or on websites. Only a few staff or consultants would see comments, and not at scale. Now, you can use sentiment analysis data to create assets with GenAI.

Here are some examples of things you can create:

- **Product development:** Use GenAI to create prototypes or feature lists based on positive or negative sentiments about your existing products.
- **Crisis management:** If you receive serious negative alerts, use the data to help generate public relations (PR) responses or action plans.
- **Employee engagement:** Use sentiment data from employee surveys to create internal training programs or motivational content.



REMEMBER Data analysis shows what customers *do,* whereas sentiment analysis shows how they *feel.* By incorporating sentiment analysis, companies can create a brand that stands out.

Providing What Customers Want

Most consumers are overwhelmed by the choices they have online. Whether they're shopping or just browsing, they have endless options. For this reason, recommendation engines have become an essential AI tool. By providing custom suggestions, recommendation engines help customers find the most relevant products and services for their needs.

Understanding recommendation engines

Recommendation engines enable marketers to provide targeted, high-value suggestions that evolve with the customer's needs. As customers change, the engine continuously revises its suggestions based on the latest data. This level of personalization helps drive engagement, conversions, satisfaction, and loyalty across the entire customer life cycle.

Recommendation engines use algorithms to analyze customer data to predict customer preferences. They look at things like

- **Purchase history:** What the customer bought before because this data can show future interest.
- **Browsing history:** What the customer has viewed but not bought.
- **Item attributes:** The customer's current preferences. They examine things like brand, price, and category.

WANT BEST-IN-CLASS SUGGESTIONS?

Perhaps one of the most well-known and respected recommendation engines is found at Amazon. You've most likely used it to find products you're interested in. In fact, BigCommerce reports that 35 percent of purchases made on Amazon result from recommendations (`www.bigcommerce.com/articles/ecommerce/recommendation-engine`). Amazon gets buyers' attention with such categories as "Deals based on your recent history" and "Buy again." Recommendation engines are worth adding to the mix when you're looking at tools for increasing product sales.

- **Ratings:** Explicit feedback the customer has provided on items, which signals the customer's likes and dislikes.
- **Demographics:** Traits such as customer age, location, and more.



TIP Customer recommendations can appear on product pages, emails, home pages, or any other touch point along the customer journey. They're typically displayed as the top personalized picks for the specific item the customer is considering.

Improving the customer journey with recommendations

Recommendation engines can influence several stages of the customer journey. Here are some examples of how recommendation engines can impact your customers:

- **Awareness:** Recommendation engines help surface products that match a customer's needs but which the customer is unaware of. This presents relevant options early in the journey.
- **Consideration:** Recommendation engines can provide educational materials, reviews, tutorials, and comparisons to help customers evaluate choices. This builds credibility during the research phase.
- **Purchase:** Recommendation engines can suggest alternatives that meet the customer's criteria based on items viewed, reminding the customer of preferences they may have forgotten.
- **Retention:** Recommendation engines can influence existing customers by recommending new releases, products the customer is running out of, and complementary items. This can help reduce churn.
- **Advocacy:** Recommendation engines can recommend special offers or loyalty programs that are exclusive to customers who are in the advocacy stage. This rewards customers for their loyalty and encourages further advocacy.

Creating assets with recommendation engine data

Recommending products and services helps introduce your customers to things that were previously unknown to them. Here are some examples of using recommendation engine data to create assets with GenAI:

- **Personalized content:** Use the data to create tailored articles, emails, or social media posts.
- **Customer segmentation:** Use the data to create customer profiles that you can use for targeted marketing campaigns.

- **Content curation:** Use the data to curate content reading lists or education courses customized to customer preferences.

Predicting What Customers Will Do

Companies have access to more customer data than ever, from website clicks to social media activity. Although this data is valuable, making sense of it is tricky. This is where predictive analytics comes in. It analyzes large amounts of customer data to predict preferences, behavior, and needs.

Utilizing predictive analytics

Predictive analytics makes predictions based on what customers have done in the past. Companies can use it to analyze the customer journey and predict what customers will do next. For example, it can predict that customers who buy a product after viewing that product's video several times have a higher customer lifetime value (CLV).



REMEMBER *CLV* refers to the amount a customer will spend during their entire relationship with a company.

After the data is analyzed, predictive analytics tools create models to determine what will happen next. This is where your company can find great value. For example, here are some questions you'll be able to answer with authority:

- Which types of content will specific customer segments be most interested in?
- How likely will customers churn in the next three months based on their engagement level?
- Given their average conversion value, how much should be spent on re-targeting ads to a specific audience segment?

Optimizing the customer journey

Knowing what customers may do next is valuable when analyzing the customer journey. Here are some examples of how predictive analytics can impact the customer journey:

- **Awareness:** Predictive analytics can find potential customers based on demographic and behavioral data. This helps marketers more effectively target their awareness campaigns.
- **Consideration:** By analyzing past interactions and purchase history, predictive analytics can personalize content to engage prospects.
- **Purchase:** Predictive analytics can predict the likelihood that a prospect will make a purchase, allowing marketers to increase their focus on customers who are more likely to purchase.
- **Retention:** Predictive analytics can identify patterns that signal potential customer churn, which alerts staff to take proactive measures to retain these customers.
- **Advocacy:** By analyzing customer satisfaction and engagement metrics, predictive analytics can identify potential brand advocates, helping to increase word-of-mouth marketing.

Creating assets with predictive analytics data

You can use GenAI to develop the insights from predictive analytics into assets that take advantage of new opportunities and challenges. Here are some examples of assets that you can create using GenAI:

- **Ad campaigns:** Leverage predictive analytics data to discover high-value keywords or customer segments. GenAI can then create ad variations that are more likely to result in a purchase.
- **Churn prevention:** You can predict which customers will likely churn and use GenAI to create retention-focused content like special offers or educational materials.
- **Simulations:** Predictive analytics can foresee the development of potential business problems. GenAI can create content that prepares you for these scenarios by suggesting training modules or videos. For example, a retail chain might use predictive analytics to identify a potential future dip in customer satisfaction. GenAI might respond by creating targeted training modules and videos for staff, focusing on enhancing customer service skills to address this issue preemptively.



TIP Predictive analytics delivers great value to organizations by anticipating customer needs and proactively serving them up. It removes the guesswork staff must make when deciding what content to provide.

Delivering Information Customers Need

Providing real-time answers to customer questions is imperative for brands. But scaling this personal support without AI tools would be virtually impossible. Enter chatbots and virtual assistants. These AI-powered tools automate conversations to give customers the information they need anytime, anywhere. By providing real-time assistance, they enhance the user experience, save money, and solve problems quickly.



REMEMBER You've already engaged with a virtual assistant if you've used Apple's Siri, Amazon Alexa, or Google Assistant. They make daily tasks like setting alarms or checking the weather fun and easy.

Utilizing chatbots and virtual assistants

Chatbots are software designed to understand questions and provide text or voice-based replies that mimic human conversation. (Virtual assistants add more advanced features like voice recognition and integration with your organization's backend systems.)



TIP Chatbot capabilities can run the gamut. They can provide simple canned responses or advanced ones using machine learning to handle more complex interactions. You can easily choose one that is suited to your needs.



REMEMBER In addition, the chat feature should tell the customer whether they're dealing with a chatbot or a human. It's important for the company to make that clear.

Self-service along the customer journey

Chatbots and virtual assistants reshape the customer journey by offering conversational self-service. Here are some examples of how to deploy them along the customer journey:

- **Awareness:** Chatbots and virtual assistants can pop up on websites to introduce the brand and answer common questions for prospects who are merely browsing.
- **Consideration:** Chatbots and virtual assistants can provide personalized product guidance and recommendations to assist with evaluation.
- **Purchase:** Chatbots and virtual assistants can process transaction details, track orders, and explain returns to increase conversions.
- **Retention:** Chatbots and virtual assistants can follow up post-purchase to answer customer questions, upsell other products, and build relationships.
- **Advocacy:** Chatbots and virtual assistants can prompt customers to share referral codes with their network, offering both the customer and their friend special discounts or rewards.

Creating assets using chatbots

Chatbots can generate insights into customer needs, behavior, and sentiment by capturing and analyzing conversational data. You can use that data to create assets using GenAI. Here are some examples:

- **Case studies:** Use the data you get from customer support chatbots to identify success stories and use GenAI to draft case studies.
- **Social media posts:** Use the data from chatbot interactions to generate social media content such as common questions or insights.
- **Email campaigns:** Use AI to create personalized email content based on the questions and opinions expressed in the chat.



REMEMBER Chatbots engage visitors and support customers without any human intervention. They're valuable because, in many cases, they reduce problems and increase satisfaction throughout the customer journey by providing 24/7 assistance. Just be aware that they don't always have the desired effect.

Automating the Delivery of Content

Customers expect to receive relevant real-time information when interacting with brands. But manually distributing content to audiences would require unlimited time and effort. This is where AI marketing automation platforms become essential. By organizing content delivery, automation enables marketers to give customers timely, personalized content on a scale.



TIP According to Gartner, the research and advisory firm, automating customer messages will help large companies be more productive. Gartner predicts that in the next couple of years, 30 percent of outbound messages from large organizations will be AI-created (`https://tinyurl.com/3666hdtp`).

Viewing AI marketing automation

AI marketing automation software uses rules and workflows to automate marketing tasks. Automation platforms can assemble and distribute content tailored to each customer based on their behaviors and preferences. This creates targeted experiences that build the customer relationship.

Observing data-driven personalization

Modern automation platforms can analyze customer data and turn it into actionable insights. Here's how they do this:

- **Customer profiles:** Data is collected from multiple channels to build unified customer profiles.
- **Audience segmentation:** Segmentation is based on attributes like demographics, behaviors, and preferences.
- **Mapping:** Journey mapping is used to understand typical pathways users take.
- **Rules:** Trigger-based rules deploy content to customers when specified criteria are met.

Automating across the customer journey

Automated content delivery streamlines critical phases of the journey. Here's how it maps to the different stages:

- **Awareness:** Automated emails send new prospects customized introductory information when they sign up.
- **Consideration:** Behavior-triggered content recommends relevant resources to help with product evaluation.
- **Purchase:** Web personalization automatically shows special offers and messaging to those poised to buy.
- **Retention:** Existing customers receive automated cross-sell offers and restock reminders.
- **Advocacy:** Automated surveys collect customer opinions. You can then automatically share these opinions as testimonials (with the customers' permission).

Creating assets and delivering them with marketing automation

Marketing automation allows you to automatically deliver valuable content to customers at the right time to spur engagement. Here are some examples of assets that you can create and automatically send at just the right time:

- **Triggered notifications:** Send automated notifications or reminders when a user takes a specific action like abandoning a shopping cart.
- **Personalized emails:** Automatically use subscriber data to segment audiences and customize email content, offers, and messaging.
- **Automated workflows:** Set up a sequence of emails, offers, and content that guides users through your conversion funnel.



REMEMBER As automation capabilities evolve, marketers can spend less time on manual efforts and more time on strategy. This lets technology handle the complexity of orchestrating seamless customer experiences at scale.